

Fiscal rules: challenges and lessons during the COVID-19 crisis in Uganda

Enock W.N. Bulime¹ and Linda Nakato, Ph.D.²

Abstract

This study assesses the implementation of fiscal rules in Uganda from the time they were adopted from 2013/14 to 2021/22. The study uses annual time series data from the Ministry of Finance, Planning, and Economic Development. It also relies on the review of the relevant government and policy documents. The results suggest that, before the pandemic, the effectiveness of fiscal rules was hampered by the complexity of the debt rule, weak incentives for compliance at the regional and national level, overreliance on debt sustainability analyses results, and the lack of commitment to deficit rule in fiscal plans, regional surveillance and coordination system and an independent national institution among others. During the pandemic, fiscal rules' effectiveness was compromised by an uncoordinated fiscal response at a regional level, delays in developing a credible timeline and procedures to revert to the rule, and unrealistic targets for the fiscal rules, among others. The study suggests that to ensure the effectiveness of fiscal rules, the government should develop a clear and robust communication strategy, develop a clear deficit and debt reduction strategy, set realistic fiscal rules, establish or support the creation of an independent institution, strengthen the budget process to ensure compliance with the rules and taking a holistic view of public debt sustainability.

Keywords: Fiscal Rules, Public Debt, Fiscal Deficit, Pandemic

¹ Ph.D. in Economics Student, Kansas State University, bulimeenock@ksu.edu

² Research Associate, Economic Policy Research Centre, lindanakato@gmail.com

1. Introduction

Ensuring sustainable public finances through well-articulated and sound fiscal rules³ is a top priority globally (Hatchondo, Martinez & Roch, 2022). The number of countries with fiscal rules in place has increased from seven (7) in 1990 to 106 in 2021 (Davoodi et al., 2022a). Countries adopt numerical subnational, national, or supranational fiscal rules to demonstrate their commitment to fiscal prudence and responsibility (Kopits, 2004; Yared, 2019). Fiscal rules can enhance budgetary discipline and policy coordination between countries, within different government levels and reduce uncertainty about future fiscal policy developments (Kopits & Symansky, 1998). Consequently, this would improve the quality of public finances, ensure fiscal and debt sustainability, and stabilize economic activity.

Uganda, like other East African Community (EAC) member states, adopted two fiscal rules in FY 2013/14 following the signing of the Protocol on the Establishment of the East African Community Monetary Union (EAMU) (EAC, 2013). These are (i) the fiscal balance (including grants) is reduced to a deficit of 3 percent of gross domestic product (GDP), and (ii) the public debt in net present value (NPV) terms is maintained below 50 percent of GDP. The public debt rule could play a preventive role by guarding against fiscal profligacy demonstrated by burgeoning public debts. In contrast, the fiscal deficit rule could play a corrective role by containing growing budget deficits through systematic fiscal adjustments. However, fiscal rule implementation has not been uniform across the EAC due to differences in development aspirations, underlying fiscal conditions, and challenges.

For instance, the adoption of fiscal rules in Uganda is yet to improve the sustainability of public finances. However, Uganda is not alone. Other countries in the East African Community have also experienced deteriorations in their fiscal outcomes, such as the fiscal deficit and public debt, due to increases in government spending that are not matched by revenue increases. Uganda's fiscal deficit-GDP increased from 3.5 percent in 2013/14 to 7.4 percent in 2021/22, while the public debt-GDP in NPV terms grew from 24.6 percent in 2015/16 to 39.3 percent in 2020/21 (Figures 2 and 3). The deteriorating fiscal position is partly attributed to the increased borrowing to achieve the national Vision 2040 through financing ambitious but expensive infrastructure projects such as the construction of roads and dams, the growing public sector, increases in interest and non-interest expenditures, and unstable government revenue (NPA, 2020). Fiscal rule implementation is fraught with other challenges that could explain the undelivered promise of ensuring sustainable public finances, such as the absence of supporting institutional structures and political will. Besides, in the face of a crisis, the existing challenges or weaknesses in the fiscal rules framework may be amplified or exposed.

The COVID-19 pandemic is unprecedentedly affecting developed, middle-income, and low-income countries, given its multidimensional nature as a health and economic crisis, the fiscal, financial, and monetary responses, and the associated containment measures. Whereas countries faced the same challenges, the magnitude of the effect and the fiscal response differed due to the fiscal space and ease of access to external support (grants or loans) (Rogoff, 2022). Relatedly, the pandemic put pressure on public finances and fiscal policy – testing the earlier commitments to ensuring sustainable fiscal balances. Countries adopted

³ These rules include numerical fiscal rules on public debt and budget deficit and procedural fiscal rules, including details on the budget processes concerning budget proposal formulation and approval. Other rules include the medium-term expenditure frameworks to provide systematic projections on government expenditure and the fiscal responsibility laws such as the Charter for Fiscal Responsibility (Siebrits, 2014).

several policy measures to cushion economies from the impact of the pandemic, but the most significant burden was borne by fiscal policy. Developed and emerging countries with some fiscal space were better positioned to respond to the pandemic than developing countries (Rogoff, 2022).

The pandemic's effect on EAC countries has been heterogeneous, with some countries being more severely hit than others. In response to the pandemic, all partner states took emergency fiscal measures in a decentralized manner, depending on the prevailing circumstances and their initial position in terms of government deficit and debt. In Uganda, the pandemic and the associated containment measures resulted in a slowdown in economic activity. In contrast, the relaxation of the containment measures was associated with a slow recovery, thus creating budgetary pressures for the government. Indeed, the government increased its spending to cater to the emerging pandemic-induced needs by running supplementary budgets and borrowing from bilateral and multilateral lenders.

Nonetheless, fiscal rules are expected to support flexibility and safeguard credibility during the pandemic.⁴ To shoulder the fiscal pressure, the government postponed meeting the fiscal deficit rule from 2020/21 to 2024/25 to contain the health and economic crisis (MoFPED, 2020a).⁵ However, the postponement of fiscal rules is not unique to Uganda, as reported by Gbohoui and Medas (2020) and Davoodi et al. (2022b). Uganda's fiscal deficit rule is flexible because the government temporarily deviated from it. In contrast, the government did not need to deviate from its debt rule since the debt was still lower than the debt limit. The deviation from the deficit rule is supported by the Protocol, requiring EAC countries to deviate from one of the fiscal rules temporarily, but not both, in case they experience large economic shocks (EAC, 2013). However, the Protocol provides limited guidance on coordinating fiscal decisions⁶, such as postponing the meeting of convergence criteria like the deficit and debt rules. This void in strategic oversight created room for EAC countries to act independently. Some governments could have engaged in excessive borrowing above and beyond the current priority needs of their economies since they overlooked the likely shared costs of large country-level debts in the run-up to the EAMU.

Deviation from the fiscal deficit rule has partly justified the increase in the fiscal deficit to accommodate new (and old) spending priorities at the expense of large debt buildups that are likely to undermine economic growth in the future. The fiscal deficit (including grants) increased from UGX 4.1 trillion (4.9 percent of GDP) in 2018/19 to UGX 11.4 trillion (7.4 percent of GDP) in 2021/22. The public debt increased by 69 percent, from UGX 46.6 trillion (34.6 percent of GDP) in 2018/19 to UGX 78.9 trillion (48.4 percent of GDP) in 2021/22 (see Figure 1 and MoFPED, 2022a)⁷. Whereas the pandemic explains part of the current deterioration in the fiscal outcomes, underlying political risks, corruption, declining social norms, and the creation of more administrative units explain the other part. Furthermore, the

⁴ Flexibility allows countries to effectively undertake countercyclical fiscal responses to crises or economic shocks. In contrast, fiscal credibility facilitates the achievement of a more predictable outlook, fostering private investment and macroeconomic stability.

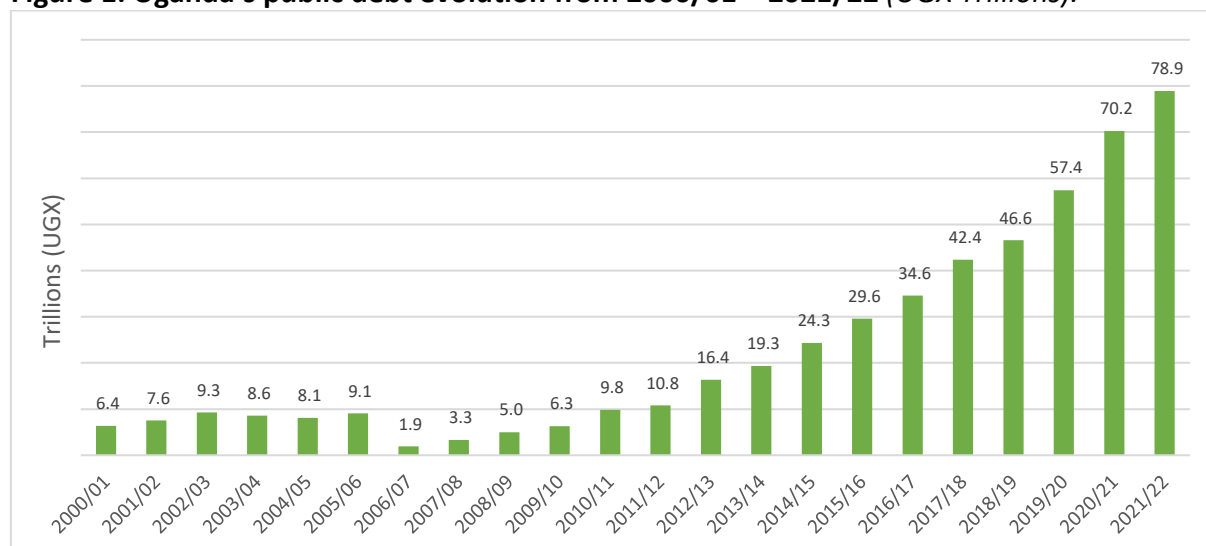
⁵ This deviation suggests that Uganda will run deficits that exceed the pre-announced limit to contain the pandemic, stabilize the economy and ensure economic recovery.

⁶ Coordination of fiscal policy actions enables countries take into account how their individual actions might affect the stability of different macro and fiscal indicators. More specifically, a coordinated fiscal rule is likely to increase fiscal discipline in countries (Halac & Yared, 2018).

⁷ Conversely, the debt-GDP in NPV terms increased from 26.7 percent in 2018/19 to 39.3 percent in 2020/21 (see Figure 4).

recent debt build-up might limit the ability to respond to shocks and crises and increase the likelihood of fiscal distress or default. Looking ahead, safeguarding the credibility of Uganda's fiscal rules will be more contingent on internal factors than external shocks.

Figure 1: Uganda's public debt evolution from 2000/01 – 2021/22 (UGX Trillions).



Source: Author's construct based on Data from MoFPED

Therefore, the ongoing COVID-19 crisis emphasizes the need to examine (and rethink) the existing fiscal framework and policies to ensure fiscal and debt sustainability. Only time might tell whether the noticeable increase in fiscal deficits and public debt is an optimal response to the pandemic through tax smoothing⁸ policies. The pandemic is also raising concerns about the functioning of fiscal institutions, especially regarding their capacity to anticipate and manage fiscal and economic risks in a sustainable and coordinated manner with other EAC partner states. It also exposes the weaknesses in the current fiscal framework in providing oversight of the fiscal system. Thus, the pandemic provides worthwhile lessons that could be relevant to other developing countries aiming to use a rules-based framework to guarantee sustainable public finances. Lastly, COVID-19 also highlights the importance of studying the design of fiscal rules under uncertainty (Hatchondo, Martinez & Roch, 2022).

The paper is a case study of Uganda focusing on the implementation of fiscal rules. It uses data⁹ from the Ministry of Finance, Planning and Economic Development (MoFPED). It relies on desk reviews of relevant government policy documents and scholarly literature on the implementation of fiscal rules in various countries to draw lessons for improving the implementation of fiscal rules in Uganda. Against that background, the paper's first objective is to document the systematic weaknesses in Uganda's current fiscal rules framework by examining the system associated with designing, implementing, reviewing, revising, and reforming public finance policies and fiscal rules. The second objective is to identify the weaknesses in the Protocol on the establishment of the EAMU, which have affected Uganda's fiscal rules framework. Thirdly, the study examines whether numerical fiscal rules are optimal policy instruments. An optimal policy instrument (i) achieves its objective or target; (ii) does

⁸ The tax-smoothing theory posits that the government faced with unanticipated temporary spending needs should respond optimally by increasing government debt rather than taxes (which might constrain economic growth).

⁹ This is a descriptive study, although efforts to conduct some empirical analysis, specifically causal estimation, are underway.

so in a way that is more effective or efficient than the alternatives; and (iii) has minimal unintended consequences (Gemmell, 2021). Lastly, the paper draws lessons and makes proposals for reforming the fiscal rules framework for Uganda in light of the pandemic.

The rest of the paper is organized as follows; the next chapter provides an overview of fiscal rules implementation in Uganda, followed by a chapter on challenges in Uganda's fiscal rules framework. Chapter 4 provides lessons from the COVID-19 pandemic, while Chapter 5 concludes with recommendations.

2. Overview of fiscal rules in Uganda

2.1. Before the pandemic

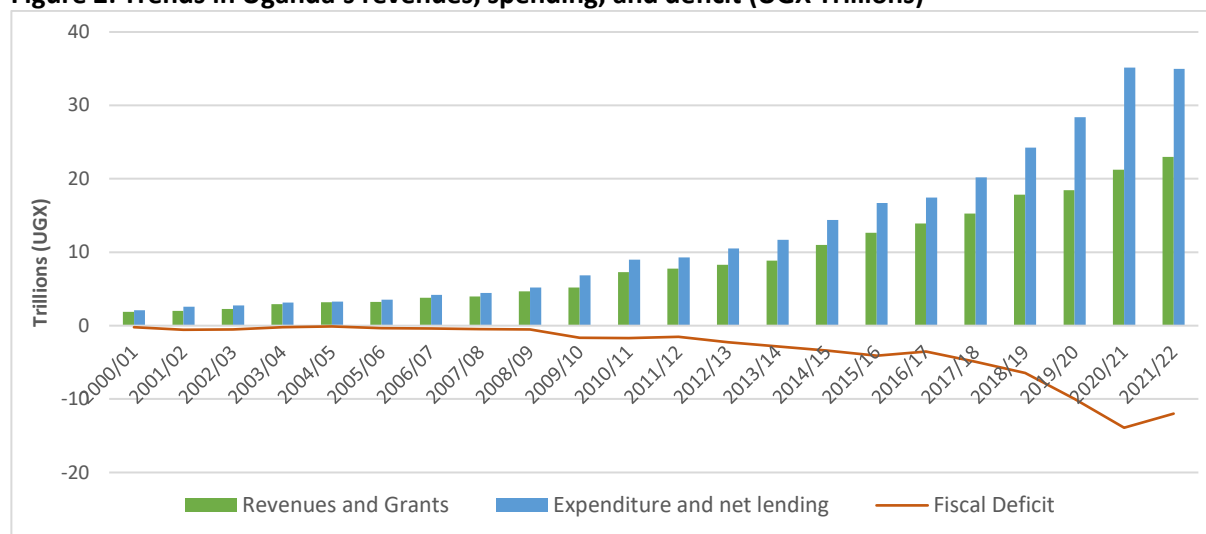
Uganda adopted fiscal rules in FY 2013/14 following the signing of the Protocol on the Establishment of the East African Community Monetary Union (EAMU) (EAC, 2013). The signing of the Protocol in November 2013 marked the introduction of supranational numerical fiscal rules in the East African Community (EAC)¹⁰. The Protocol specified two numerical fiscal targets countries had to meet by 2021 to qualify for membership in the EAMU. These include (i) the fiscal balance (including grants) being reduced to a deficit of 3 percent of gross domestic product (GDP) and (ii) the public debt in net present value (NPV) terms being maintained below 50 percent of GDP.

Uganda formally adopted the fiscal deficit and public debt rules as enshrined in the Protocol without modification, following the establishment of the Public Finance Management Act [2015, as amended] (GoU, 2015) and the Charter for Fiscal Responsibility (MoFPED, 2016). This recognition of fiscal rules as important guides for fiscal policies was received positively by the government and international agencies such as the International Monetary Fund as a significant and credible step to sustainable public finances. Thereby rekindling the possibility of solving a looming debt crisis and restoring sustainable fiscal policies.

During the 2013/14 – 2019/20 period, the government pursued ambitious social and economic transformation goals by implementing targeted public investments in some of the Core Projects of the first and second National Development Plans (NPA, 2010; 2015). These mainly included multi-billion infrastructure projects such as roads and dams. Consequently, the government's expenditure continued to increase, albeit slower than the revenue growth (Figure 1). In addition, economic activity in Uganda and the EAC continued to grow during this period but at a slower pace than anticipated in Member States' projections. During this period, the observed economic growth in Uganda was underpinned mainly by improvements in export demand, inflows of foreign direct investment, and growth in private investment.

¹⁰ East African member states currently include Uganda, Kenya, Tanzania, Rwanda, Burundi, South Sudan, and the Democratic Republic of Congo.

Figure 2: Trends in Uganda's revenues, spending, and deficit (UGX Trillions)



Source: Author's construct using data from MoFPED

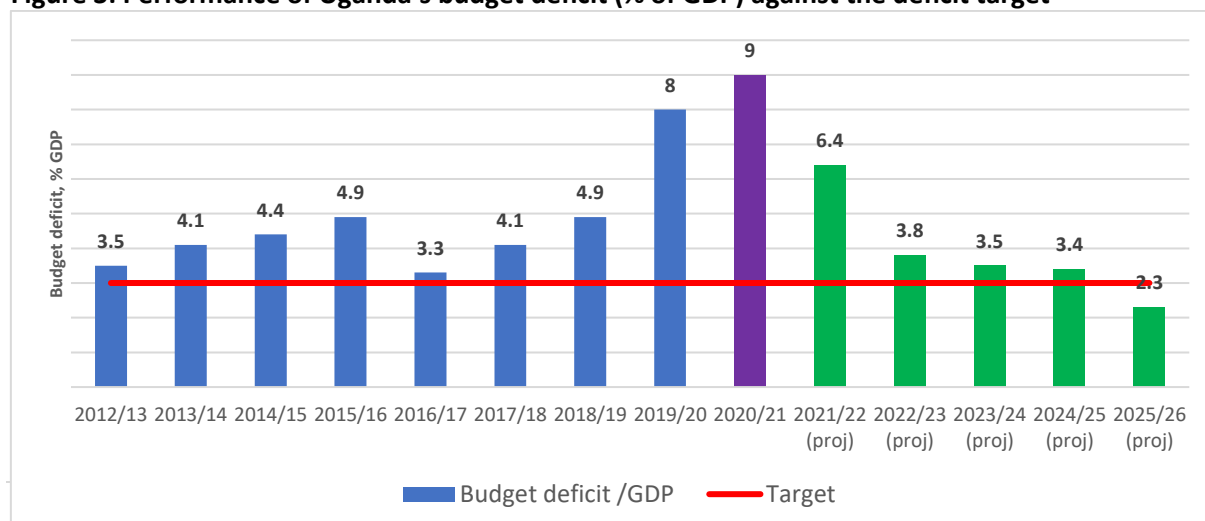
In Uganda, economic growth was slightly lower than the projections in the first and second National Development Plans (NDP I and II) and the budgets for the respective years. Whereas the lower-than-anticipated growth can be attributed to factors such as limited access to credit for investment, low household savings, declining productivity, and unemployment, the increasing optimism, as reflected in the macroeconomic projections, amplifies the forecast errors. This failure to meet the growth projections had implications for meeting the fiscal rule's targets, especially the fiscal deficit rule. Notably, slow growth projections meant that the denominator was smaller, keeping the deficit-GDP ratio larger than predicted. Conversely, it meant that the country no longer had the necessary fiscal space to respond to a significant slowdown in economic growth with expansionary fiscal policies. Nevertheless, stabilizing the deficit-GDP ratio in line with the fiscal targets was necessary but not sufficient in guaranteeing sustainable fiscal policies since the public debt levels were growing at unprecedented levels in the country's fiscal history.

Fiscal rules aim at (i) enhancing fiscal discipline and (ii) reducing uncertainty about future fiscal policy developments. In the case of Uganda, the presence of fiscal rules has yet to result in improvements in fiscal discipline, as demonstrated in Figure 3 and Figure 4 and by Bulime, Mukisa, and Bbaale (2021). In addition, the fiscal deficit-to-GDP outturns were outside the earlier expectations¹¹ in the Protocol establishing the EAMU and the Charter for Fiscal Responsibility (CFR). These projections were affected by the fluctuations in the government's revenues, increases in government expenditures, and the failure to follow¹² the fiscal deficit rule. The deficit (including grants) increased from UGX 4.1 trillion (4.9 percent of GDP) in 2015/16 to UGX 6.4 trillion (4.9 percent of GDP) in 2018/19. Therefore, despite the rules, Uganda's budget deficits and debts have continued to increase. Such fiscal outcomes make it difficult to manage expectations about future budget balances.

¹¹ The government expected to reduce the fiscal deficit to 3% of GDP by 2020/21.

¹² The failure to follow the rule could result from a misunderstanding of the purpose of rule, thus its poor implementation, and not an intrinsic weakness of the rule itself in failing to influence fiscal decisions. Also, the deficit rule was used to signal that the government is committed to ensuring fiscal sustainability, but without the necessary degree of political will and commitment.

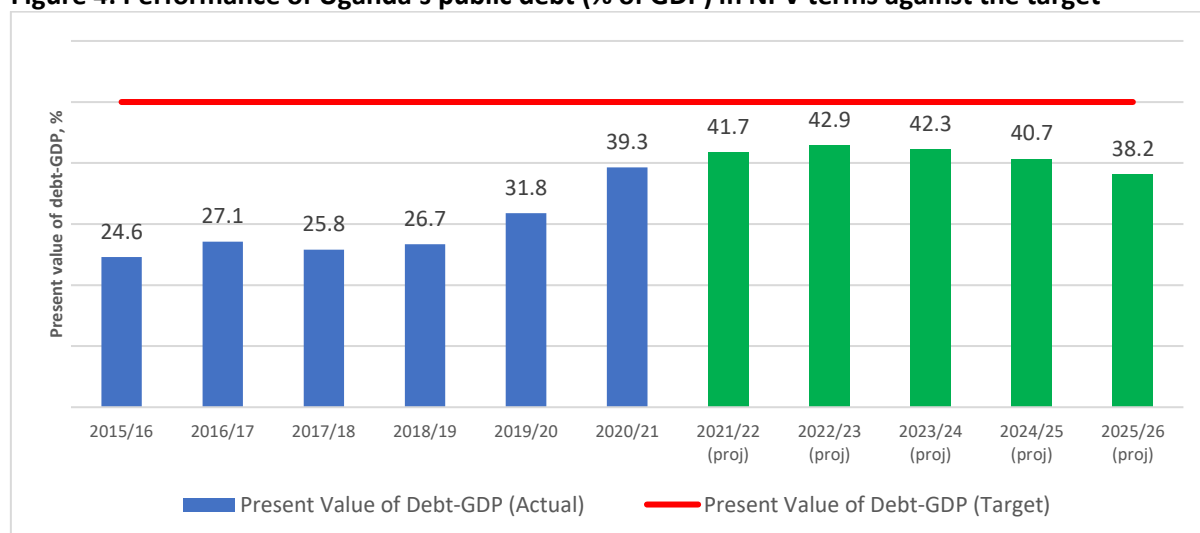
Figure 3: Performance of Uganda's budget deficit (% of GDP) against the deficit target



Source: Author's construct based on Data from MoFPED

While the public debt in NPV terms was below the target, the debt position turned out to be worse than anticipated (Figure 4). The growth in Uganda's public debt during this period is attributed to the government's growing hard-to-reverse expenditures, especially with the creation of more local government administrative units and government agencies, and the low growth in tax revenues, mainly due to increasing tax evasion and avoidance and the proliferation of tax exemptions. Further fluctuations in the external sector (current account balance) and overall macroeconomic performance also explain the dismal performance. Public finance decisions in Uganda are increasingly hamstrung by politics which might impair good judgment and economic sense, thus promulgating wasteful expenditures and profligate rent-seeking behavior.

Figure 4: Performance of Uganda's public debt (% of GDP) in NPV terms against the target



Source: Author's construct based on Data from MoFPED

In addition, Bulime, Mukisa, and Bbaale (2021) argue that the debt rule seems to have weakened the government's response to the growing public debt. The debt rule accommodated fiscal complacency due to the large gap between the target (fiscal rule) and the actual debt-GDP (in NPV terms). This has been more pronounced in the short-run period.

More specifically, Bulime, Mukisa, and Bbaale (2021) argue that the government has been unresponsive to the debt bulge, posing risks to debt sustainability in the short run. Since Uganda's public debt reached a trough in 2006/07 because it received debt relief, its public debt has increased rapidly. Uganda's public debt rose from UGX 1.9 trillion in 2006/07 to UGX 46.6 trillion in 2018/19, the eve of the COVID-19 pandemic. Whereas political economy, macroeconomic and budgetary developments have had a substantial effect on the size of the public debt, budgetary developments are increasingly playing a significant role, especially with the running of supplementary budgets. Implementing "supplementary budgets" signals that the government can always reallocate money from other spending units or borrow to meet emerging spending needs.

Nonetheless, economic activity (GDP) and revenue collection improvements explain the better-than-expected growth in debt indicators. For instance, the Debt Sustainability Analysis report (MoFPED, 2017) envisaged that the nominal debt-GDP would be at 47% while the debt-GDP in NPV terms would peak at 34.3% in 2019/20. However, by 2019/20, the actual nominal debt-GDP turned out to be around 41%, while the debt-GDP in NPV terms was 31.8% (MoFPED, 2020b). This is partly because the increased rate of economic expansion (GDP) turned out to be more than predicted, leading to a larger denominator and increased revenue mobilization. Conversely, the increased rate of debt accumulation turned out to be less than expected, leading to a smaller numerator.

2.2. During the Pandemic

As a health and economic crisis, the COVID-19 pandemic, the associated lockdowns, and other containment measures have put significant fiscal pressure on the government, with implications for fiscal rules. The immediate fiscal priorities of the government were to (i) provide extra budget support to the health sector (ministry) to protect and save lives, (ii) support households and businesses to survive, ensure liquidity and avoid bankruptcies, and (iii) boost aggregate demand through stimulus package to different sectors of the economy. However, meeting these spending priorities raises concerns about the ability of fiscal rules to be stable and credible guides to fiscal policy.

Uganda's Charter for Fiscal Responsibility (CFR) provided an escape clause permitting the government to deviate from the pre-announced path for fiscal policy in case of (i) a natural disaster, (ii) an unanticipated severe economic shock,¹³ and (iii) any unforeseen event that cannot be funded under the Public Financial Management Act (2015, as amended) or using prudent fiscal policy mechanisms (MoFPED, 2016). Therefore, under such circumstances as the COVID-19 pandemic, the government could deviate from the fiscal objectives or rules while ensuring fiscal and debt sustainability. However, whereas the government can take advantage of the existing flexibility in its fiscal framework by running excessive deficits and debts to accommodate any shocks – public debt and fiscal sustainability need not be compromised. Fiscal authorities need to devise credible short and medium-term measures to guarantee fiscal and public debt sustainability. Such as commitments to reduce fiscal deficits and debt, improve domestic revenue mobilization efforts and promote robust economic growth.

¹³ A severe economic shock constitutes an unexpected or unpredictable event resulting in a large-scale economic downturn, measured by a decline in real GDP growth rates by over 1% for at least two consecutive quarters in a quarter-to-quarter comparison from the preceding period (MoFPED, 2016).

Indeed, to undertake far-reaching fiscal measures, MoFPED initially postponed meeting the fiscal deficit rule from 2020/21 to 2024/25 to contain the health and economic carnage (MoFPED, 2020a). However, the postponement of fiscal rules is not unique to Uganda. Gbohoui and Medas (2020) report that Brazil and European Union (EU) countries used escape clauses in their rule-based fiscal frameworks to deviate from or suspend the rules. Indeed, countries used different approaches, including supranational mechanisms, supplementary budgets, or taking advantage of the legal flexibility in structural rules or when declaring a national emergency.

For instance, the general escape clause of the Stability and Growth Pact was activated on 23 March 2020 to allow EU countries to undertake the much-needed fiscal stimulus packages to contain the sharp economic downturn and support economic recovery. Furthermore, in October 2021, the United States of America initially lifted the debt ceiling¹⁴ until early December 3rd to accommodate more borrowing to accommodate fiscal spending – including social security and medicare benefits, military salaries, interest on the national debt, tax refunds, and other payments (The New York Times, 2021). Davoodi et al. (2022b) also note that Malaysia, Namibia, and Russia accommodated the pandemic-induced fiscal pressures by either activating escape clauses, modifying their fiscal rule limits, or suspending fiscal rules.

This deviation (postponing the meeting of the fiscal deficit rule) suggests that Uganda could legally and credibly run deficits that exceeded the pre-announced limit to contain the pandemic, stabilize the economy and ensure economic recovery. To note, apart from the COVID-19 pandemic, Uganda has experienced a series of shocks that increased its fiscal pressures. Therefore, during this period, the fiscal anchor guiding fiscal actions was the debt rule since the debt-to-GDP ratio (NPV terms) between 2019/20 and 2020/21 was still far below the target.

“Despite the above pressures (COVID-19 pandemic, locust invasion, and floods), Government’s fiscal strategy will ensure that the fiscal deficit remains within sustainable levels – with the debt to GDP ratios remaining below 50 percent over the medium to long-term. The fiscal deficit will converge at 3 percent of GDP by FY 2024/25, while expenditure will average 21.5 percent between FY 2020/21 and FY 2024/25.” – (MoFPED, 2020a)

The government undertook several fiscal responses to limit the human and socio-economic impact of the COVID-19 pandemic. On the expenditure front (in FY2019/20 and FY2020/21), the government passed about two national budgets, four supplementary budgets, reallocated funds from non-essential to critical sectors, and deferred taxes to support the economy, lives, and livelihoods. Some critical fiscal measures include increased funding to the health sector (ministry), providing food relief and cash transfers to poor and vulnerable households, implementing livelihood programs such as the Emyooga initiative, and recapitalization of Uganda Development Bank and the Uganda Development Cooperation to support large-scale enterprises. To support Micro, Small, and Medium Enterprises, the government allocated funds to Microfinance Support Centre. Other measures included clearing arrears and expanding the labor-intensive public works. On the revenue front, the government waived

¹⁴ The debt ceiling limits the total amount of money the federal government is authorized to borrow via Treasury bills and savings bonds to fulfill its financial and legal obligations.

interest on tax arrears, deferred the payment of taxes such as Pay-As-You-Earn, presumptive tax, and corporate income tax, and expedited repayment of VAT refunds.

Undertaking such measures increased the government's noninterest expenditure while the tax revenues and grants slightly reduced. Due to limited fiscal space, the government closed the widening fiscal deficit by borrowing from domestic and foreign sources. For instance, the government obtained a US\$491.5 million loan under the International Monetary Fund's (IMF's) Rapid Credit Facility and a US\$300 million loan from the World Bank under the Uganda COVID-19 Economic Crisis and Recovery Development Policy Financing program. The IMF estimates indicate that Uganda's fiscal response to the pandemic was US\$ 0.9 billion (2.1% of GDP) between January 2020 and September 2021 (IMF, 2021). Of this, additional spending or foregone revenue is US\$ 0.7 billion (1.6% of GDP), and liquidity support is US\$ 0.2 billion (0.5% of GDP).

Undertaking such responses reinforces the necessity of having a flexible fiscal rules framework because the government can temporarily deviate from rules to respond to economic shocks such as COVID-19. However, balancing the flexibility and credibility of fiscal rules is critical since it enables the government to respond effectively to economic shocks while ensuring that necessary steps are taken to comply with the rules. Further, in the case of Uganda, the government needed to beware of the risks associated with following the debt rule as a fiscal anchor because it could lead to more debt if followed blindly, which could prove unsustainable after the COVID-19 mist settles.

Due to COVID-19, containment measures, and the fiscal response to the pandemic, Uganda's fiscal position deteriorated more than was anticipated. During the pandemic, public debt increased by 69 percent, from UGX 46.6 trillion (34.6 percent of GDP) in 2018/19 to UGX 78.9 trillion (48.4 percent of GDP) in 2021/22 (see Figure 1 and MoFPED, 2022a). Conversely, the debt-GDP in NPV terms increased from 26.7 percent in 2018/19 to 39.3 percent in 2020/21 (see Figure 4). Lastly, the fiscal deficit (including grants) increased from UGX 4.1 trillion (4.9 percent of GDP) in 2018/19 to UGX 11.4 trillion (7.4 percent of GDP) in 2021/22. Whereas the pandemic could explain part of the current deterioration in fiscal outcomes, there are other underlying causes. These include political risks, corruption, declining social norms, and the creation of more administrative units, and they pose significant challenges to Uganda's fiscal stability. These developments make it hard to implement the announced policies for debt sustainability and strain the government's credibility in managing the rapidly growing fiscal deficit and its commitment to fiscal rules.

Whereas fiscal rules have supported flexibility and given the government fiscal headroom to respond to the pandemic, they also ought to safeguard credibility¹⁵. The government is credible if the markets and the public believe it will undertake its announced fiscal policies. Therefore, fiscal rules are credible if they are viewed as enforceable and binding. Therefore, balancing between flexibility and credibility is critical in this pandemic era. Balancing the flexibility and credibility of the rules enable the government to respond effectively to economic shocks while ensuring that necessary steps are taken to comply with the rules. It is

¹⁵ Credibility determines the government's ability to influence expectations about fiscal and public debt sustainability and its ability to borrow. However, credibility is not intrinsic to Uganda's fiscal system – it is an outcome of a long track record of successfully enforcing past policy pronouncements.

also crucial because greater flexibility may make it difficult to enforce rules and anchor fiscal and debt sustainability expectations.

Looking ahead, the fiscal indicators for the deficit and the public debt have been adjusted upwards in anticipation of further deteriorations in economic growth and revenue mobilization capacity. For instance, the fiscal deficit-GDP ratio is projected to remain above 3% between 2021/22 and 2024/25. The nominal debt-GDP is projected to stay above 50%, while the debt-GDP in NPV terms is projected to remain above 40% during the same period. Whereas the projections account for the pandemic, the increased fiscal risks and vulnerabilities in the macroeconomic outlook might result in worse-than-expected outcomes. Relatedly, the failure to anchor fiscal expectations might promulgate unnecessary uncertainty regarding budgetary spending, which can undermine the ability of fiscal rules to control public finances and influence fiscal policy decisions.

3. Challenges in Uganda's fiscal rules framework

3.1. Pre-pandemic challenges

The government's implementation of the fiscal rules framework during the past eight years (2014/15 – 202/22) has been fraught with some challenges, making compliance with the fiscal deficit rule difficult and its enforcement weak. Because of the pre-pandemic challenges, the aggregate negative effect of fiscal rules has been substantial. On the other hand, though compliance with the debt rule ensued, Uganda's public debt grew at a rate that foreshadowed impending debt distress unless the government undertakes necessary fiscal adjustments. Overall, the amount and frequency of government borrowing before the pandemic was undesirable and posed significant risks to fiscal and debt sustainability.

The public debt rule was not simple¹⁶ to understand by some policymakers, bureaucrats, the private sector, and the public at large: The design and communication of the debt rule – calibrated in net present value terms – was complex to most people, as demonstrated by their failure to comprehend it. Most policymakers and the media consistently confused it with the nominal debt to GDP whenever reporting on Uganda's compliance with the debt rule. For instance, several reports in the media (national and international) and by policymakers indicated that Uganda was about to (b)reach the debt limit (debt-GDP in NPV terms) when they were referring to the debt-GDP in nominal terms. The failure to understand the debt rule made monitoring by the policymakers and the general public difficult and created undesirable panic. Also, it hampered its effectiveness in ensuring sustainable public finances by containing the deficit bias. Moreover, the debt rule is also sensitive to the choice of discount rates, thus making it inapplicable in times of increasing uncertainty and ineffective for debt management policies. For the public debt rule to gain widespread support and for the public to understand it, MoFPED had to develop a clear and robust communication strategy to explain its rationale, design (computation¹⁷), and implementation.

The two fiscal rules provided contradictory signals, thus making fiscal policy guidance difficult: Whereas the two rules were expected to support and reinforce each other, that

¹⁶ Wyplosz (2012) argues that fiscal rules should be simple enough for the policymakers and the general public to comprehend them.

¹⁷ This NPV of debt is the nominal amount outstanding minus the sum of all future debt-service obligations (interest and principal) on existing debt discounted at an interest rate different from the contracted rate.

happens to be the contrary in Uganda.¹⁸ The deficit rule signaled a fiscal adjustment toward lower deficit levels (*deficit reduction*), while the debt rule indicated the government's commitment to keeping its debt below the debt ceiling. However, the debt ceiling was too high – making the public debt rule irrelevant – since compliance with the rule did not improve the quality of public finances, nor did it provide thorough guidance to contain and correct the increase in the deficit and the public debt. For instance, in 2015/16, Uganda's debt-GDP in NPV terms was 24.6%, yet the limit was 50%. Therefore, one unintended consequence of blindly following the debt rule is that it encouraged complacency, leading the fiscal authorities to acquire more debt since the actual public debt-GDP, in NPV terms, is still below the threshold. In most cases, the government's borrowing appetite was fuelled by the "it is still safe" attitude, which led to a sharp increase in debt. Therefore, the deficit rule was ineffective during this period since it was not followed. Consequently, using indicators that do not support and reinforce each other – thus providing mixed signals – could make it hard to anchor fiscal expectations and ensure the credibility and predictability of fiscal policy.

Weak incentives for compliance at the regional and national level: The Protocol for establishing the EAMU needs strong incentives for compliance (rewards and sanctions/warnings) with the fiscal rules. The Protocol specifies that any of the countries that meet the pre-requisites for the monetary union (Article 5) and the macro-economic convergence criteria¹⁹ (Article 6) could be admitted to the Single Currency Area (EAMU) – the reward for compliance. Conversely, though not explicitly stated, it can be inferred that the sanction or failure to meet the fiscal targets could lead to the country's exclusion from the Monetary Union. Therefore, the Protocol does not provide any direction about the countries that fail to meet the criteria nor provides explicit warnings or sanctions for failure to meet the convergence criteria. Consequently, this could lead countries to exercise limited effort to meet the convergence criteria and undermine the fiscal framework's credibility. Relatedly, Uganda lacks a strong incentive mechanism to boost compliance with the fiscal rules. Therefore, there is some merit in making the failure to comply with the set targets costly either – economically (through the budget) or politically (through the ballot).²⁰ Otherwise, fiscal rules will not reduce overborrowing, especially if the government's reputation and commitment are low.

Lack of commitment to deficit rule in fiscal plans: To signal her commitment to sustainable public finances, the government committed to ensuring that the "fiscal balance is reduced to a deficit of no greater than 3% of GDP by FY2020/21" (MoFPED, 2016). The budget for 2017/18 indicated that Uganda's projected deficit-GDP for 2020/21 would be 2.8% - that is 0.2% less than the target. However, this commitment was not reflected in the national budgets (plans) of the subsequent years (2018/19 – 2019/20), making gaps in the government's intended compliance (promise and action) visible. This demonstrates a lack of political commitment to enforce the rules, whose aggregate effect on public finances is substantial. For instance,

¹⁸ It is likely that the causal chain linking the design of fiscal rules to their implementation and the final outcomes was not clearly articulated and emphasised. Ideally, the fiscal deficit rule can serve as an instrument for ensuring that the public debt does not grow to unsustainable levels.

¹⁹ These include a ceiling on headline inflation of 8%, a ceiling on fiscal deficits including grants of 3% of GDP, a ceiling on gross public debt of 50% of GDP in NPV terms and the reserve cover of 4.5 months of imports. These were supposed to be met in 2021 and maintained for three years – after which qualifying countries would be able to join the EAMU in 2024.

²⁰ The absence of near-term effects of fiscal indiscipline has partly contributed to the likely deterioration in political discipline that would have acted as an incentive to better fiscal policy decisions.

MoFPED projected that the deficit-GDP ratio would be 3.7% in 2018/19 and 6.2% in 2019/20. This signaled that budget implementation would have resulted in a significant deviation from the rule – since there was no commitment to reduce the deficit to less than 3% in 2020/21. Coupled with forecast errors, it is not surprising that the deficit-GDP ratio was 4.9% in 2018/19 and 8% in 2019/20. This sharp increase could result from a misunderstanding of the purpose of the rule, thus its poor implementation, and not an intrinsic weakness of the rule itself in failing to influence fiscal decisions. In other words, the deficit rule signaled that the government is committed to ensuring fiscal sustainability without the necessary degree of political will and commitment. The lack of commitment to compliance revealed at the planning stage risks weakening the government's credibility to the public and its ability to correct for the deficit bias and forecast errors.

The EAC does not have a surveillance and coordination system: Delays in setting up surveillance, coordination, and monitoring mechanisms or institutions at the regional level could partly explain the dismal performance of the debt and deficit outcomes in the run-up to the formation of the monetary union in most EAC countries, especially Kenya and Uganda. A regional coordination mechanism would ensure that countries adhere to the stipulated fiscal rules and other convergence criteria and foster fiscal discipline among partner states through the regular monitoring and assessment of their fiscal plans and deficit and debt reduction strategies. It could also have enhanced the coordination of fiscal policy decisions across the different partner states, especially during an economic shock, to ensure that all countries undertake actions that do not jeopardize fiscal sustainability after the COVID-19 shock fizzles out.

Relatedly, Uganda lacks an independent institution to monitor compliance with the rules and offer alternative forecasts on the path of fiscal aggregates: An independent institution (not necessarily a fiscal council) would act as a watchdog to play a vital role in monitoring fiscal rule compliance, strengthening transparency and accountability and reduce the political bias and forecast bias in fiscal plans. Experience from other countries, especially in the European Union, suggests that independent fiscal institutions undertake assessments that help to highlight any downside risks to medium-term economic forecasts that the government could otherwise overlook (Debrun et al., 2013; Yared, 2019). They increase the likelihood of ensuring that substantive limits on government borrowing and spending decisions are binding.

Limited fiscal capacity to accurately predict the future path of fiscal aggregates: Significant forecast errors of the fiscal deficit-GDP ratio signal a limited capacity by the government to account for and anticipate current and future risks and vulnerabilities in Uganda's fiscal framework. Such risks include low revenues, supplementary budgets, low growth outcomes, and political interference in the budgeting process. With hindsight, some of the projections in the budget framework papers were overly optimistic and detached from fiscal realities. For instance, MoFPED projected that the deficit-GDP ratio would be 3.7% in 2018/19 and 6.2% in 2019/20. However, the deficit-GDP ratio was 4.9% in 2018/19 and 8% in 2019/20. Besides, the inaccuracy of forecasts is associated with budgetary opacity, which results in persistent deficits, excessive debt burdens, and a reduction in fiscal policy effectiveness (Calitz, Siebrits, & Stuart, 2016). In addition, pronounced forecast errors undermine government credibility by

contributing to significant discrepancies between budget plans and budgetary outcomes, thus reducing the effectiveness of fiscal policy (ibid).

Overreliance on debt sustainability analysis results to inform borrowing decisions: Debt Sustainability Analysis (DSA) reports by MoFPED and the IMF showed that Uganda's debt was sustainable but at moderate risk of debt distress in the medium and long term, thus signaling that Uganda's public debt, though bulging, was still safe. Over the years, however, an accumulation of evidence suggests that Uganda may be caught up in a "public debt safety trap" in which a favorable debt position based mainly on DSA results falsely signals that the country has more fiscal headroom to borrow, especially when debt is still below the set national or international limit. During the past five years, Uganda's borrowing decisions have been made mainly by reference to the debt rule and because Uganda's debt is projected to be sustainable over a 20-year forecast period. Due to the over-reliance on DSA results to inform borrowing decisions, the debt has rapidly increased (see Figure 1). Relying on DSAs alone is harmful because governments tend to disregard other possible indicators or warning signals of impending risks to debt sustainability. Debt sustainability analyses that overlook other external and internal macroeconomic (fiscal and monetary) factors, which are not captured in the DSAs and the quality of government spending, can lead to unrealistic assessments.

3.2. Pandemic challenges

Uncoordinated fiscal response to the pandemic by the EAC member countries: The Protocol on the Establishment of the EAMU allowed countries to deviate from the deficit rule if they do not breach the convergence ceiling on the debt ratio (the debt rule) in case of any economic shocks such as the COVID-19 pandemic. However, it does not guide how countries can coordinate their fiscal actions in response to any unanticipated economic shock. Therefore, EAC governments responded to the shock as they saw fit – according to their conditions and underlying circumstances – but in an uncoordinated manner. For instance, early in the pandemic (June 2020), the government signaled that it would defer meeting the deficit rule by four years from 2020/21 to 2024/25, yet it remains unknown how other countries postponed their fiscal rules. Though justified by all means, this decision by the government creates undue uncertainty and speculation about the realization of the formation of the EAMU in 2024. This is because the convergence criteria (such as the debt-GDP rule) were supposed to be met in 2021 and maintained for three (3) years before the EAMU is activated in 2024. Logically, the decision to meet the deficit rule in 2024/25 indicates that, unless the convergence criteria and the timelines for meeting them are revised, the EAMU will be activated in 2028²¹. This lack of consensus should be a cause for concern and needs to be addressed lest it erodes public trust in the commitment to form the EAMU.

Delays in developing a credible timeline and procedures to revert to the rule: The government provided five timelines for meeting the deficit target in its medium-term projections. The government indicates that the deficit would return to the target (debt-GDP of 3%) in 2024/25 (MoFPED, 2020a; NPA, 2020) and in 2025/26 (MoFPED, 2021a; MoFPED, 2021b) – see Table 1. Earlier forecasts for June 2020 were revised downward in June 2021 to reflect optimism about economic recovery and revenue growth and revised upwards in

²¹ Such speculation should be cleared by the EAC Secretariat providing a formal announcement.

September 2021 to account for pandemic-induced uncertainty – due to the second wave of the pandemic and the reinstatement of containment measures, such as the lockdown. Nevertheless, this inconsistency in the timelines could be misleading and confusing to the private sector and the public at large, thus undermining the credibility of the fiscal strategy by the government.

Table 1: Timelines (Projections) for returning to compliance with the deficit rule (percentage)

	2020/21	2021/22	2022/23	2023/24	2024/25	2025/26
Budget (2020/21) – June 2020	-8.6%	-6.1%	-5.5%	-4.2%	-3.0%	
Third National Development Plan (FY 2020/21 – 2024/25) – June 2020	-7.82%	-6.18%	-5.17%	-4.13%	-2.93%	
Budget (2021/22) – June 2021		-6.4%	-3.8%	-3.5%	-3.4%	-2.3%
Charter for Fiscal Responsibility (FY2021/22 – FY2025/26) - (MoFPED, 2022b) – May 2022		-6.4%	-5.2%	-4.6%	-4.2%	-3.0%
Budget (2022/23) – June 2022		-7.3%	-5.4%	-4.5%	-3.6%	-2.4%

Source: Author's construct based on Data from MoFPED

In the new Charter for Fiscal Responsibility (2021/22 – 2025/26), the government targets to reduce the fiscal deficit and public debt to below 3 percent of non-oil GDP and 50 percent of GDP by 2025/26, respectively. However, whereas the destination has been precisely defined, navigating the scale and speed of Uganda's transition to lower debt and deficit levels remains uncertain for some reasons. First, the debt sustainability analyses by the Ministry of Finance and the IMF cannot “fully and accurately” consider uncertainty in future movements in macro indicators such as the primary balance, GDP growth, and interest rates. Second, pandemic-induced spending and borrowing are likely to increase even as the COVID-19 mist lifts. Third, whereas Uganda has a debt management strategy, a credible fiscal plan/strategy to guide deficit and debt reduction during this pandemic seem nonexistent or unpublicized, which could signal weakness in fiscal commitment and transparency. Fourth, Uganda lacks an excellent and clear communication strategy to inform and clarify to the public about such timelines to promote transparency and accountability.

Unrealistic targets for the public debt and fiscal deficit: The forecasts for fiscal adjustments underpinning the medium-term fiscal plans for the government during the next five years seem unrealistic – both by historical (based on analysis and documented experience) and pandemic standards²². Regarding historical standards, during the past five years (2015/16 – 2020/21), Uganda's fiscal deficit-GDP ratio averaged at 5.9%, yet it is anticipated to average at 3.9% in the next five years (2021/22 – 2025/26). Concerning pandemic standards, the fiscal targets seem to be detached from the fiscal risks and economic circumstances during the pandemic²³. Nonetheless, unless the future is different from the past, it is highly unlikely for

²² The accuracy of forecasts is likely to depend on the path of the pandemic, the effect of the containment measures, and the effectiveness of policy responses.

²³ The new fiscal rules on the deficit and the debt are likely to be inadequate and irrelevant in constraining the accumulation of deficits and debts.

the government to meet these targets. Intolerance of corruption, fiscal slippages, supplementary budgets, evidence-less budgetary incentives (e.g., tax exemptions), and creating more administrative and political positions – the thorns in Uganda’s fiscal side – could be expedient²⁴. In addition, more realistic fiscal targets based on realistic assumptions about the economy (e.g., GDP growth, interest rates, and exchange rate) would support credibility and reduce forecast errors, especially since the end of the pandemic is not in sight. Guarding against overly optimistic projections during a downturn would be of the essence.

The escape clause in the Charter for Fiscal Responsibility lacks clarity and credibility: The CFR provides an escape clause permitting the government to deviate from the pre-announced path for fiscal policy in case of (i) a natural disaster, (ii) an unanticipated severe economic shock²⁵ and (iii) any unforeseen event that cannot be funded under the PFM Act or using prudent fiscal policy mechanisms. However, it does not provide thorough guidance on the size (by how much the government should increase the deficit or debt), timeline (how long the deviation should last), and nature (permanent or temporary) of the deviation. A failure to specify these details would render the escape clause vague, thus making it subject to subjective judgment and discretion, affecting its credibility.

4. Lessons from the COVID-19 pandemic

The current pandemic provides important lessons by exposing flaws in the current fiscal framework.

Commitments based solely on numerical targets will result in sub-optimal outcomes if a credible deficit and debt reduction strategy do not complement them. The COVID-19 pandemic underscored the importance of developing a credible deficit and deficit reduction strategy that is agreed upon by politicians and bureaucrats and implemented judiciously. The growth in the fiscal deficit and the public debt following the pandemic outbreak stresses the need to build fiscal buffers by strengthening the domestic resource mobilization efforts, ensuring efficiency in resource use, and reducing fiscal slippages. Political will and positive social norms should also be leveraged to support the strategic reduction in government expenditures. Otherwise, minor or significant breaches of the fiscal rules might have substantial credibility and sustainability concerns.

Countries without a clear timeline and procedures for reverting to rule compliance might compromise the sustainability of their public finances. Due to the pandemic and differences in prediction horizons, the government has provided four different paths for meeting the deficit target in its medium-term projections. Inconsistencies in the time paths for the fiscal deficit rule might make it irrelevant in providing fiscal guidance to ensure that the deficit is reduced to 3%. The sudden increase in deficits and public debt emphasizes the importance of developing realistic and credible adjustment paths to guarantee fiscal and debt sustainability following a deviation from the fiscal rules – lest additional burdens for further flexibilities are introduced abruptly. Relatedly, details for reducing the budget deficit and debt will never

²⁴ Addressing these fiscal deficiencies could make it possible for the government to achieve its fiscal targets.

²⁵ A severe economic shock constitutes an unexpected or unpredictable event resulting into a large scale economic downturn, measured by a decline in real GDP growth rates by over 1% for at least two consecutive quarters in a quarter to quarter comparison from the preceding period.

work themselves out. Therefore, policymakers need to clearly identify the actions or steps that will be followed to revert to rule compliance.

Public and private sector expectations about the deficit and debt sustainability are likely to deteriorate in the absence of a sound and clear communication strategy. Whereas the government has made efforts to communicate its commitment to fiscal and debt sustainability in the Budget, the NDP III, and the Charter for Fiscal Responsibility, more needs to be done to translate this information to the broader public in a simple form to make them understand it to raise awareness and public ownership and for accountability, transparency, and credibility purposes. Besides, boosting private sector confidence is essential to support economic growth, thus, must be maintained. The crisis has also underlined how anchoring expectations is critical for promoting and enhancing private-sector investment and consumption.

Without a fiscal policy coordination secretariat or authority – EAC countries are bound to take different courses of action if they experience a regional shock. For instance, Uganda postponed meeting the deficit rule from 2020/21 to 2024/25 early on in the pandemic (June 2020) and revised it to 2025/26 (September 2020). It remains unclear whether other EAC countries did the same since they were all supposed to meet this rule in 2020/21. The EAC Secretariat is overly occupied with establishing a Monetary Authority to coordinate monetary policy decisions across the seven (7) member states. However, the pandemic reveals that efforts to put a central fiscal authority in place might be critical. The central fiscal authority's mandate would be primarily to coordinate the fiscal decisions made by the different countries with or without any shocks to the economy. Otherwise, the Monetary Authority would be overwhelmed. Hatchondo, Martinez, and Roch (2022) provide evidence that the presence of independent fiscal councils could strengthen compliance with their fiscal rules.

Activating the escape clause was critical for ensuring flexibility due to the pandemic shock to the economy. However, this privilege is likely to be at risk if abused or overused by the government. Early in June 2020, the government activated the escape clause to defer meeting the deficit rule from 2020/21 to 2024/25, however, it did not provide a strong and clear justification for the extension by four years. Moreover, the government needs to beware of taking advantage of the fiscal rule flexibility to prop up unnecessary expenses in the guise of boosting economic recovery from the pandemic. A balance between flexibility and credibility of fiscal rules could ensure that reasonable increases in deficits and debts are accommodated without burdening future generations.

5. Conclusions and recommendations

Fiscal discipline is essential for ensuring fiscal and debt sustainability. This paper reviews the current fiscal framework regarding the implementation of fiscal rules in Uganda before and during the COVID-19 pandemic. It finds that the current fiscal framework for Uganda needs to be strengthened and less politicized. Second, inherent weaknesses in the Protocol establishing the EAMU have translated into defects in the national fiscal framework for Uganda. Third, fiscal rules are yet to (i) enhance fiscal discipline and (ii) reduce uncertainty about future fiscal policy developments. The pandemic has also provided important lessons for improving the fiscal framework.

The following recommendations are worthwhile:

The government should develop a clear and robust communication strategy to inform the public and the private sector about the design and implementation of fiscal rules. This is aimed at constantly and intentionally explaining the critical components of the fiscal rules to the public and the private sector to attract their interest in fiscal policy issues. These components include what fiscal rules are, why they are important, how they are designed and implemented²⁶, when the government may be required to deviate from them temporarily, and how the government can revert to comply with them. Different modes of communication can be leveraged to communicate with the public and the private sector, including official and non-official channels to raise awareness and public ownership. During its implementation, the strategy should be revised to accommodate any components that could be relevant to support the understanding of the rules. Consequently, this would help the public and private sectors hold the government accountable and ensure transparency.

Develop and implement a clear deficit and debt reduction strategy to bring the deficit and debt back on track. The government must complement the fiscal rules or targets with an enforceable and politically and economically feasible deficit and debt reduction strategy consistent with the country's prevailing economic, political, and social circumstances. The strategy should be developed in close consultation with all key stakeholders – government, and non-government – to ensure buy-in and commitment to keep the deficit and debt within the fiscal thresholds. To provide fiscal guidance, the deficit and debt rules should be calibrated to support and reinforce each other. In addition, the existing fiscal frameworks should be strengthened to ensure compliance with the rules. However, because the country is yet to recover from the pandemic, the government must guard against overly optimistic and ambitious strategies inconsistent with the fiscal risks and challenges. Credibility is at stake when unrealistic commitments are made, and the likelihood of compliance is minimal.

Set fiscal rules or targets for the public debt and fiscal deficit that are realistic by historic and pandemic standards. The forecasts for the necessary fiscal adjustments needed to bring the deficit back to track should be informed by a thorough historical analysis and understanding of the current and anticipated fiscal, economic (microeconomic and macroeconomic), and political risks. A fiscal future characterized by intolerance of corruption, fiscal slippages, supplementary budgets, evidence-less fiscal incentives (e.g., tax exemptions), and the creation of more administrative and political positions could play a critical role in supporting the achievement of realistic targets. Responsible and realistic optimism is of the essence. Besides, enforceability should not be compromised – through strict fiscal rules – by the urgency of signaling to the general public and the private sector that the government is committed to fiscal and debt sustainability, as is the case with the proposed fiscal rules in the new Charter for Fiscal Responsibility (MoFPED, 2022b).

Establish or support the creation of an independent institution to monitor and assess the implementation of the fiscal rules and provide alternative fiscal variables forecasts. This is because, at the moment, MoFPED establishes the fiscal rules and evaluates compliance with

²⁶ There is merit in providing an objective and economic justification for the choice of capping the deficit to GDP to 3 percent and the public debt at 50 percent. Otherwise, the public might have limited interest in holding the government accountable.

the same. MoFPED is also making forecasts of the fiscal variables and is sometimes influenced by politics. The independent institution could act as a watchdog to monitor and assess compliance with the fiscal rules, provide public assessments of fiscal plans and performance, and evaluate or provide macroeconomic and budgetary forecasts. Consequently, this could strengthen transparency and accountability and reduce the political and forecast bias in fiscal plans. This institution should be independent, credible, and acceptable to the government, the private sector, and the general public. Hatchondo, Martinez, and Roch (2022) provide evidence that the presence of independent fiscal councils could strengthen compliance with their fiscal rules.

Strengthen the budget process to ensure compliance with the rules. The government needs to take bold and critical steps to improve budget processes, especially planning, execution, accounting, and reporting to ensure enforcement and compliance with the fiscal rules. As earlier indicated, the lack of commitment to the fiscal deficit rule was evident at the planning stage of the budget and in the budget even before its execution. In addition, a commitment by the politicians (policy makers) and the bureaucrats to the fiscal rules is critical since they influence the budget plans and implementation. The credibility of the fiscal rules is often compromised if the budget is not aligned with the rules.

The government needs to take a holistic view of public debt sustainability to escape the public debt safety trap. This includes, first, thoroughly understanding the external and internal macroeconomic environment and its relationship with debt sustainability. This is mainly because sound debt management is more effective when linked to a credible macroeconomic framework that promotes economic stability and sustainability. Second, ensuring sound and good fiscal management minimizes riskier debt portfolios and reduces a country's vulnerability to shocks. Third, strengthening the link between budgetary or debt management and monetary policy, especially in a climate of increasing domestic debt and inflation. Fourth, a longer-term objective, improving the institutional environment by reducing corruption, promoting fiscal transparency, and rewarding accountability.

Regarding the East African Community, some of the weaknesses in the governance frameworks need to be addressed. First, the Protocol on the Establishment of the East African Community Monetary Union needs to be revised and updated to reflect the current economic, social, political, and fiscal risks. Second, revising the timelines for meeting the convergence criteria and establishing the Single Currency Area is critical for success. Third, there is an urgent need to set up a surveillance and coordination system to monitor the implementation of rules at the national and regional levels – left to themselves, countries might compromise the fiscal and debt sustainability of the monetary union once it is established. Fourth, the debt rule (in NPV terms) needs to be revised to a lower limit because complying with it does not provide thorough fiscal guidance to keep the debt on a sustainable path²⁷. Fifth, sanctions for failing to abide by the rule need to be established lest countries are demotivated to engage in credible deficit and debt reduction. Lastly, a communication strategy that is regional sensitive and country relevant should be developed and implemented judiciously to support efforts to ensure fiscal and debt sustainability in the run up to the East African Monetary Union.

²⁷ The public debt rule was irrelevant for most EAC including Uganda since the debt-GDP ratio (in NPV) terms was below the 50% limit

References

- Bulime, E. W., Mukisa, I., & Bbaale, E. (2021). *Public Debt Sustainability: Estimating the Fiscal Reaction Function for Uganda (1981/82–2016/17)*. *Tanzanian Economic Review*, 1-34.
- Calitz, E., Siebrits, K., & Stuart, I. (2016). *Enhancing the accuracy of fiscal projections in South Africa*. *South African Journal of Economic and Management Sciences*, 19(3), 330-343.
- Davoodi, H. R., Elger, P., Fotiou, A., Garcia-Macia, D., Han, X., Lagerborg, A., Lam, R., & Pillai, S. (2022a). *Fiscal Rules Dataset: 1985-2021*. International Monetary Fund, Washington, DC.
- Davoodi, H. R., Elger, P., Fotiou, A., Garcia-Macia, D., Han, X., Lagerborg, A., Lam, R., & Pillai, S. (2022b). *Fiscal Rules and Fiscal Councils: Recent Trends and Performance during the COVID-19 Pandemic*. International Monetary Fund, Washington, DC.
- Debrun, X., Kinda, T., Curristine, T., Eyraud, L., Harris, J & Seiwald, J. (2013). *The functions and impact of fiscal councils*. IMF Policy Paper, July 2016. International Monetary Fund, Washington, DC.
- EAC. (2013). *Protocol on the Establishment of the East African Community Monetary Union*. Arusha, Tanzania: East African Community.
- Gbohoui, W., & Medas, P. (2020). *Fiscal Rules, Escape Clauses, and Large Shocks*. Washington D.C.: International Monetary Fund, Fiscal Affairs Department.
- Gemmell, N. (2021). *What is happening to tax policy in New Zealand and is it sensible?* Wellington, New Zealand: Victoria University of Wellington.
- GoU. (2015). *Public Finance Management Act 2015*. Kampala: Government of Uganda.
- Halac, M., & Yared, P. (2019). *Fiscal Rules and Discretion in a World Economy*. *American Economic Review*, 108(8): 3205–2334.
- Hatchondo, J. C., Martinex, L., & Roch, F. (2022). *Fiscal rules and the sovereign default premium*. *American Economic Journal: Macroeconomics*, 14(4), 244–273.
- IMF. (2021). *Fiscal Monitor: Database of Country Fiscal Measures in Response to the COVID-19 Pandemic*.
- Kopits, G. (2004). *Rules-Based Fiscal Policy in Emerging Markets: Background, Analysis and Prospects*. International Monetary Fund.
- Kopits, G., & Symansky, S. (1998). *Fiscal policy rules*. Washington D.C: International Monetary Fund, Occasional Paper No. 162.
- MoFPED. (2016). *Charter for Fiscal Responsibility FY 2016/17 - FY 2020/21*. Kampala: Ministry of Finance, Planning and Economic Development.
- MoFPED. (2017). *Debt Sustainability Analysis Report FY 2016/17*. Kampala: Ministry of Finance, Planning and Economic Development.
- MoFPED. (2020a). *Background to the Budget Fiscal Year 2020/21*. Kampala: Ministry of Finance, Planning and Economic Development.
- MoFPED. (2020b). *Debt Sustainability Analysis Report FY 2019/20*. Kampala: Ministry of Finance, Planning and Economic Development.
- MoFPED. (2022a). *The National Budget Framework Paper FY 2023/24 - FY 2027/28*. Kampala: Ministry of Finance, Planning and Economic Development.
- MoFPED. (2022b). *Charter for Fiscal Responsibility FY 2021/22 - FY 2025/26*. Kampala: Ministry of Finance, Planning and Economic Development.
- NPA. (2010). *First National Development Plan (NDP I) 2010/11 - 2014/15*. Kampala: National Planning Authority.
- NPA. (2015). *Second National Development Plan (NDP II) 2015/16 – 2019/20*. Kampala: National Planning Authority.

- NPA. (2020). *Third National Development Plan (NDP III) 2020/21 - 2024/25*. Kampala: National Planning Authority.
- Rogoff, K. (2022). Emerging Market Sovereign Debt in the Aftermath of the Pandemic. *Journal of Economic Perspectives*, 3 (4): 147–166.
- Siebrits, F. K. (2014). *The influence of fiscal policymaking frameworks on fiscal outcomes: Evidence from the European Union*. Stellenbosch University.
- Wyplosz, C. (2012). *Fiscal Rules: Theoretical Issues and Historical Experiences*. NBER Working Paper 17884.
- Yared, P. (2019). Rising Government Debt: Causes and Solutions for a Decades-Old Trend. *Journal of Economic Perspectives*, 33 (2): 115–140.